RISK BUDGETING

Learning Outcome

- describe risk budgeting and its role in risk governance

Risk budgeting picks up where risk tolerance leaves off. Whereas risk tolerance focuses on the appetite for risk and what is and is not acceptable, risk budgeting has a more specific focus on how that risk is taken. Risk budgeting quantifies and allocates the tolerable risk by specific metrics; it extends and guides implementation of the risk tolerance decision.

Risk budgeting applies to both business management and portfolio management. Its foundation is the perspective that business or portfolio management involves assembling a number of risk activities or securities, which can be collated into an assemblage of various risk characteristics. For example, a traditional view of a portfolio might be that it is allocated 20% to hedge funds, 30% to private equity, and the remaining 50% is split between stocks and bonds. An alternative risk view of the same portfolio might be 70% driven by global equity returns, 20% by domestic equity returns, with the remaining 10% driven by interest rates. The equity component might be allocated 65% to value and 35% to growth. The portfolio might also have 45% illiquid securities and the remainder liquid. Other allocations can be stated in terms of exposures to inflation, long-term interest rates, currencies, and so on. These multiple dimensions for viewing the allocation of a portfolio are not mutually exclusive: they co-exist. If one is evaluating the risk exposure of a portfolio and trying to keep it in line with a stated risk tolerance, one would be far more concerned with the risk characteristics of the investment assets and portfolio rather than their common classifications of stocks, hedge funds, real estate, private equity, and so on. These terms tell us a little about risk but not enough. Equity is traditionally riskier than hedge funds, but some equities are of quite low risk and some hedge funds are of quite high risk. The risk view may be more meaningful and useful in understanding the portfolio risk than the traditional asset allocation view.

Risk budgeting is any means of allocating a portfolio based on some risk characteristics of the investments. In the purest sense, the term “budget” implies that there is a total risk limit for the organization. Although this approach is not formally required,[10] it would certainly be good practice to have a risk budget that is consistent with the organization’s risk tolerance. A risk budget provides a means of implementing the risk tolerance at a strategic level, or in other words, a means of bridging from the high-level governance risk decision to the many management decisions, large and small, that result in the actual risk exposures.

A risk budget can be complex and multi-dimensional, or it can be a simple, one-dimensional risk measure. Even the simplest measure can provide significant benefits in developing an effective risk culture. Four well-known single-dimension measures that are often used are standard deviation, beta, value at risk (VaR), and scenario loss, but there are many others. It is common for some hedge funds to budget risk using standard deviation, managing to a fixed-risk fund target, and evaluating individual investments based on their returns and risks as they affect the *ex ante* standard deviation.

More complex forms of risk budgeting use multiple dimensions of risk. One popular approach evaluates risks by their underlying risk classes, such as equity, fixed income, commodity risk, and so on, and then allocates investments by their risk class. Also common are risk factor approaches to risk budgeting, in which exposure to various factors is used to attempt to capture associated risk premiums. An example would be to budget an allocation to give greater emphasis to value stocks based on the belief that they may

and additional factor tilts specified up to some level.

Risk budgeting, although a desirable element of risk governance, cuts across the entire risk management framework, providing a focal point for each of the facets of risk management described in Sections 2 and 3. And although it is true that in practice many organizations operate without a risk budget, it is generally because there has been no specific declaration of their risk tolerance. If a board has a clear understanding of its risk appetite, both the board and management will want some means of implementing a strategic allocation that is consistent with it. Thus, the risk budget becomes a critical overarching construct for the organization's risk framework.

Some individuals may, often through the assistance of a financial planner, engage in some form of risk budgeting, but many do not execute it well or carry it far enough. A classic example of this failure is the tendency of many individuals to invest their financial portfolios in their employers. The risk budget for their total wealth—financial and human capital—is extremely concentrated in one firm and/or one industry. Not surprisingly, such risk budgets typically occur not through formal planning because most formal plans would recognize the problem, but through inaction or inattention.

One major benefit of even the most basic risk budgeting is that it forces risk trade-offs and supports a culture in which risk is considered as a part of all key decisions. Suppose that all the activities a business wants to pursue are in excess of the risk budget. The budgeting of risk should result in an approach, whether explicit or not, of choosing to invest where the return per unit of risk is the highest. Better still, it should also result in a market-benchmarked choice of risk intensity, between possibly doing less of each risky investment or doing more, but with a risk-mitigating hedge. This benefit is extremely important. By choosing between a market hedge or less of a risky investment, one ends up evaluating the investment directly against the market risk–return benchmark. Thus, one is not only comparing risk–return relationships among one's investment choices, but also comparing active versus passive strategies; that is, evaluating investment choices as a whole against the "market return" on a risk-equivalent basis. In other words, one ends up attempting to add active value in each of one's decisions while still staying within the confines of the organization's risk tolerance. The result is even more powerful than merely ensuring that the business is compensated well for the risks they decide to accept. Just having a risk budget in place, forces decision makers to try to add value to the enterprise in every risky decision they make. The risk-budgeting framework makes this consideration innate to the decision process.

EXAMPLE 2

Risk Governance

1. Which of the following approaches is *most* consistent with an enterprise view of risk governance?

   A. Separate strategic planning processes for each part of the enterprise
   B. Considering an organization's risk tolerance when developing its asset allocation
   C. Trying to achieve the highest possible risk-adjusted return on a company's pension fund's assets

   Hide Solution

   Solution

   B is correct. The enterprise view is characterized by a focus on the organization as a whole—its goals, value, and risk tolerance. It is not about strategies or risks at the individual business line level.

2. Which of the following statements about risk tolerance is *most* accurate?

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B. The risk tolerance discussion is about the actions management will take to minimize losses.
C. The organization's risk tolerance describes the extent to which the organization is willing to experience losses.

Hide Solution

Solution

C is correct. Risk tolerance identifies the extent to which the organization is willing to experience losses or opportunity costs and fail in meeting its objectives. It is best discussed before a crisis and is primarily a risk governance or oversight issue at the board level, not a management or tactical one.

3. Which of the following is *not* consistent with a risk-budgeting approach to portfolio management?

A. Limiting the beta of the portfolio to 0.75
B. Allocating investments by their amount of underlying risk sources or factors
C. Limiting the amount of money available to be spent on hedging strategies by each portfolio manager

Hide Solution

Solution

C is correct. Risk budgeting is any means of allocating a portfolio by some risk characteristics of the investments. This approach could be a strict limit on beta or some other risk measure or an approach that uses risk classes or factors to allocate investments. Risk budgeting does not require nor prohibit hedging, although hedging is available as an implementation tool to support risk budgeting and overall risk governance.

4. Who would be the *least* appropriate for controlling the risk management function in a large organization?

A. Chief risk officer
B. Chief financial officer
C. Risk management committee

Hide Solution

Solution

B is correct. A chief risk officer or a risk management committee is an individual or group that specializes in risk management. A chief financial officer may have considerable knowledge of risk management, may supervise a CRO, and would likely have some involvement in a risk management committee, but a CFO has broader responsibilities and cannot provide the specialization and attention to risk management that is necessary in a large organization.

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